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ANNEX

to the Commission Implementing Decision approving the first release of funds to North Macedonia under the Reform and Growth Facility for the Western Balkans

Assessment of the Conditions for Payments – North Macedonia

1. EC assessment of the preconditions for Union support

Effective democratic and rule of law mechanisms

North Macedonia has a multi-party parliamentary system. According to the findings and conclusions of the OSCE's ODIHR, the latest parliamentary and presidential elections of 2024 were competitive and fundamental freedoms were respected, and election legislation provides a suitable framework for holding democratic elections ([1]). Campaign rules, access to the media and distribution of State funding need to be adequately regulated, and the Electoral Code merits revision to address inconsistencies, gaps, and ambiguities that could compromise legal certainty. North Macedonia should also address outstanding OSCE/ODIHR recommendations.

North Macedonia has undergone several waves of judicial reform and in December 2023 adopted a new justice strategy aiming to improve the independence, efficiency, and professionalism of the judiciary. The independence and accountability of the judiciary needs to be improved. External and political interference remain a serious concern. Further efforts are needed to address external and political interference, and to increase transparency and institutional capacities to prevent undue influence or intimidation. The rising deficit in human resources impacts the quality and efficiency of justice and needs to be addressed.

A comprehensive national anti-corruption strategy is in place, whose implementation needs to be accelerated. Significant corruption risks persist across various sectors. The institutional framework on the fight against corruption is in place and is satisfactory in terms of preventive measures, though the track record in the fight against corruption and the law enforcement aspect needs to be improved. Amendments to the Criminal Code in September 2023 have weakened the legal framework and negatively affected the prosecution of corruption, especially in high-level corruption cases. A new version of the Criminal Code in line with the EU *acquis* and European standards, under the supervision of the Ministry of Justice, is foreseen to be adopted during 2025.

Respect for all human rights obligations

The legal framework of North Macedonia on the protection of fundamental rights is partially aligned with the EU *acquis* and European standards. The country continues to meet its general

[1] https://www.osce.org/files/f/documents/5/e/576648.pdf

obligations on fundamental rights, though legislation and pertinent strategies need to be implemented in a systematic manner. The country has ratified most international human rights instruments. It needs to develop a comprehensive monitoring and data collection system to assess the level of implementation of human rights legislation, policies, and strategies and to fully benefit from its observer status in the European Union Agency for Fundamental Rights (FRA). While overall prison conditions remain a serious concern, prison infrastructure has been renovated and several prison facilities have been improved. The parliament needs to adopt an amendment to the Law on the Ombudsman's Office in order to upgrade its 'B' accreditation status, based on the Paris Principles.

The preconditions are confirmed as met.

2. EC assessment of the general conditions for payments

a) Assessment of the macro financial stability

GDP growth accelerated in 2024, driven by investment and public consumption, with the latter partly reflecting a strong rise in public sector wages. Though supported by increasing real incomes and easing credit conditions, household consumption growth remained subdued. Gross capital formation increased by 8.9% in 2024, after declining in the preceding year. The contribution of the external balance to growth turned negative due to slowing exports, largely reflecting the weakness in key export destinations and sectors, in particular the automotive industry. The current account moved back into deficit in 2024, as the merchandise trade balance deteriorated and remittances declined. Well-calibrated monetary policy and abating foreign price pressures supported the slowdown in headline inflation in 2024, to 3.5% on average. However, headline inflation has been rebounding since September 2024, driven by rising food prices, despite the government's temporary price controls which put limits on retailers' margins of basic food products. Core inflation remained sticky with second-round effects of high energy and food prices on other sectors receding only slowly. The central bank lowered the key policy rate in several steps as of September 2024, from 6.30% to 5.35% in February 2025. At 4.4% of GDP, the general government fiscal deficit remained below its revised target (4.7%) in 2024, helped by under-implementation of capital expenditure, arrears, and protracted VAT refunds. The deficit is likely to narrow gradually this year and next, but fiscal consolidation will remain sluggish overall, mainly as the government needs to define precise revenue-enhancing measures, while mandatory spending is increasing. Capital expenditure is projected to rise gradually from 3% of GDP in 2024 to 5.7% in 2026. The country has a good track record of servicing its debt. Financing needs are elevated with another Eurobond repayment looming in 2026, against the background of a rise in debt levels, as well as in sovereign borrowing cost and interest expenditure in recent years.

In conclusion, the authorities are pursuing a stability-oriented macroeconomic policy, and the general condition is met.

b) Assessment of the soundness of the Public Financial Management system(s)

The Public Financial Management (PFM) Reform is broadly credible and relevant, though system improvements are still needed. The implementation rate of the 2022–2025 PFM Reform Programme (PFM/RP) has been low due to delays in adopting key legislation, weak monitoring, and insufficient political oversight. In December 2023, the Ministry of Finance conducted a mid-term review of the 2022–2025 PFM/RP and developed a new reform programme for 2024–2027. However, the revised reform was not formally adopted by the government due to elections. The programme has since been revised and is expected to be adopted in the first half of 2025, covering the period 2025–2028.

Key weaknesses in the PFM system are regularly identified by international assessments, including PEFA, SIGMA, and EU country assessment reports. The most recent PEFA assessment was conducted in 2021, based on data from fiscal years 2018, 2019, and 2020 ([2]). The latest SIGMA assessment was published in December 2024 ([3]). The PFM/RP 2022-2025 is structured around eight pillars, addressing the main weaknesses identified in these assessments. The Ministry of Finance's institutional capacity remains limited, as it struggles to attract and retain qualified staff.

The budget process is well established and organised. Budget credibility has improved, supported by the operationalisation of the Fiscal Council, enhancements to the fiscal strategy, and progress in monitoring fiscal risks. However, concerns persist regarding the credibility of macro-fiscal projections. A new Organic Budget Law (OBL) was adopted by Parliament in September 2022, but the related implementing legislation and the establishment of the Integrated Financial Management Information System (IFMIS) have been significantly delayed.

Public investment planning remains weak. Some progress has been made in public investment management (PIM), including the establishment of a new PIM Department within the Ministry of Finance. The PIM Decree, which is crucial for regulating the entire investment management cycle and fulfilling Reform Agenda conditionality, was adopted in April after a long delay.

Budget execution is well structured. The Government operates a zero-balance Single Treasury Account on daily basis. Expenditure controls at commitment level and monitoring of State-Owned Enterprises and Municipalities should be strengthened to prevent arrears.

Public Internal Financial Controls (PIFC) remain weak, despite some progress following the adoption of the PIFC Law in December 2024 after four years of parliamentary procedures - another Reform Agenda conditionality. The new law is expected to facilitate essential reforms, including strengthening administrative capacity, reducing the fragmentation of Internal Audit Units, and reinforcing Financial Management Controls.

Public procurement legislation is broadly aligned with the EU *acquis*. Despite North Macedonia's 'A' rating in the last PEFA assessments, practical implementation challenges persist, including low competition, exposure to corruption, and underdeveloped Public-Private Partnerships (PPPs).

[2] https://www.pefa.org/node/5117
[3] https://www.sigmaweb.org/en/publications/public-administration-in-the-republic-of-north-macedonia-2024_071bad9d-en.html

Addressing these issues is critical to improving procurement transparency and efficiency. The use of the Most Economically Advantageous Tender (MEAT) criteria remains rare, with approximately 96% of tenders awarded based solely on the lowest price.

The State Audit Office (SAO) is considered operationally independent, but its official status as an independent institution has yet to be recognised in the Constitution. The SAO fully implemented its 2024 audit programme. However, its institutional capacity remains insufficient – while the systematisation act approved in December 2022 provides for 245 job positions, only 126 (51%) are currently filled. Parliamentary oversight of audit reports remains weak, as there is no established practice of following up on individual audit findings.

In conclusion, the soundness of the public finance management system (including the relevant reform strategy) is sufficiently confirmed, and the general condition is met.

c) Assessment of the transparency and oversight of the budget

The Executive's budget proposal and the final approved budget are published in a timely manner on the websites of both the Parliament and the Ministry of Finance. The main budget documents, including the annual budget, the Fiscal Strategy, the Debt Management Strategy, and the Final Accounts, are generally available to the public. However, the publication of recent Fiscal Strategies has faced significant delays - those for 2023–2027 were postponed due to the energy crisis, while the 2025-2029 strategy was delayed due to elections.

The Ministry of Finance has continued its efforts to enhance budget transparency by publishing quarterly data on the revenue and expenditure of public institutions, local government authorities, and state-owned enterprises. However, the comprehensiveness and accessibility of this data could be improved.

In the 2023 Open Budget Survey (OBS), North Macedonia scored 35, a slight decline from its score of 36 in 2021. The country makes five out of the eight key budget documents monitored by the OBS publicly available within a timeframe consistent with international standards. To enhance budget transparency, the timely publication of the Citizens Budget, Mid-Year Budget Review, and Fiscal Strategy needs to be prioritised.

According to the latest OBS, there is only limited oversight throughout the budget cycle. The government should ensure that the draft budget is submitted to Parliament at least two months before the start of the fiscal year, allowing for in-depth budget policy debates before adoption. Opportunities for public participation in the budget process remain limited. The Ministry of Finance should further promote public engagement at all stages of budget preparation, execution, and reporting.

The State Audit Office's (SAO) audit of the government's final accounts is currently limited to compliance issues. It does not yet provide an audit opinion on accuracy and fairness based on a financial audit methodology. However, such opinions will be required once the new Organic Budget Law (OBL) comes into force.

In conclusion, transparency and oversight of the budget are sufficiently credible and the general condition is met.

The general conditions are confirmed as met.

3. EC review of the achievement of the steps in the Reform Agendas

The Commission has reviewed the information provided by the beneficiary and has no indication that the implementation of the steps contravenes the general principles outlined in Article 4 and 11(4) of Regulation (EU) 2024/1449 and Article 3 of the Facility Agreement, or the 'Do No Significant Harm' principle (DNSH).

1.1.1. Strengthen Public Internal Financial Control

The step under review	*Public Internal Financial Controls (PIFC) Law is adopted by the Parliament.*
Baseline	0 (2024). (Law not adopted)
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The Beneficiary considers this step as fully achieved.
Commission assessment of results	The new Law on PIFC was adopted by the Parliament on 12 December 2024, and it was published on 17 December 2024 in the Official Gazette of the Republic of North Macedonia No. 255: *https://www.slvesnik.com.mk/Issues/8c2e6621d184423b9e7393d838f63421.pdf* The Central Harmonization Unit has prepared an Action Plan for the Implementation of the Law. According to this plan, the adoption of all by-laws arising from this law will be carried out in the next 18 months.
Checks performed and evidence used in the verification of the step and related findings	Desk Review/Monitoring meetings with the Government. The draft Public Internal Financial Control (PIFC) Law was developed with the support of an EU-funded twinning project in 2021, and it has been extensively discussed with the EU. The law is comprehensive and establishes a solid legislative framework for implementing key reforms in Internal Audit, Financial Management Controls, and Managerial Accountability. The PIFC Law remained in parliamentary procedure for four years before its adoption. Before resubmitting the law to Parliament, the government revised the draft. The EU

	Delegation (EUD) monitored the process to ensure that no substantial amendments were introduced. The updates were limited to revising technical definitions to align the draft with the Organic Budget Law and the latest internal audit standards.
Double funding	Contributions from third parties were not reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved**

1.1.3. Full implementation of the 2022 Organic Budget Law, including the foreseen reform measures in Public Investment Management

The step under review	*Adoption of at least 17 bylaws foreseen in the Organic Budget Law (OBL), including establishing of the registry of public entities (Art 4), revision of the budget classification (art 5) and reduction of the number of primary (''parent'') budget users by at least 40% in the administrative classification and Public Investment Management Decree (art 20).*
Baseline	0 (2024). (The OBL was adopted in September 2022 but no bylaws ensuring its implementation have been adopted)
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The Beneficiary considers this step as partially achieved.
Commission assessment of results	The following by-laws have been published within the reporting period: 1. Fiscal Policy Statement: *https://finance.gov.mk/wp-content/uploads/2025/02/FISCAL-POLICY-STATEMENT-FOR-THE-PERIOD-2024-2028.pdf* 2. Register of Public Entities: *https://finance.gov.mk/wp-content/uploads/2025/02/REGISTER-OF-PUBLIC-ENTITIES.xlsx* *https://finance.gov.mk/wp-content/uploads/2025/02/RULEBOOK.pdf* 3. Organisational Classification: *https://finance.gov.mk/wp-content/uploads/2025/02/Rulebook-on-Organizational-Classification.pdf* *https://finance.gov.mk/wp-content/uploads/2025/02/Organizational-classification.pdf* 4. Economic Classification:

	https://finance.gov.mk/wp-content/uploads/2025/02/RULEBOOK-ON-ECONOMIC-CLASSIFICATION.pdf https://finance.gov.mk/wp-content/uploads/2025/02/Economic-revenues.pdf https://finance.gov.mk/wp-content/uploads/2025/02/Economic-expenditure.pdf 5. Functional Classification: Att-2-OECD-Class-Definitions-Functional-classification.pdf https://finance.gov.mk/wp-content/uploads/2025/02/Rulebook-on-Functional-Classification.pdf 6. Program Classification: https://finance.gov.mk/wp-content/uploads/2025/02/Program-Classification-Rulebook.pdf 7. Classification by Sources of Financing: https://finance.gov.mk/wp-content/uploads/2025/02/Rulebook-on-Budget-Classification-by-Sources-of-Financing.pdf 8. Rulebook on the form and content of the template for assessment of the medium-term fiscal implications: https://finance.gov.mk/wp-content/uploads/2025/02/Rulebook-on-assessing-fiscal-implications.pdf 9. Rulebook on the format and content of the gender-responsive budget statement: https://finance.gov.mk/wp-content/uploads/2025/02/Gender-responsive-budget-statement.pdf 10. Guidelines for the preparation of macroeconomic and fiscal projections and the coordination process between organizational units and institutions involved in macroeconomic and fiscal planning: https://finance.gov.mk/wp-content/uploads/2025/02/Guidelines-on-the-method-of-preparing-macro-fiscal-projections.pdf 11. Form and content of the misdemeanour payment order: https://finance.gov.mk/wp-content/uploads/2025/02/Misdemeanor-payment-order.pdf 12. Fiscal Strategy: https://finance.gov.mk/wp-content/uploads/2025/03/2025-2029-Fiscal-Strategy-of-the-MK.pdf 13. Rulebook on the manner and deadlines for submitting information provided by municipalities, other budgetary users and other public entities managing the financial assets of the state or the municipalities, legal entities in which the state or the municipalities have a direct or indirect equity investments and others legal entities, for the needs of the Registry of shares, stakes and equity participation in legal entities of the state and the municipalities (4767, pg. 12): https://www.slvesnik.com.mk/Issues/74c71826579f4863a327830e2fb7ac36.pdf 14. Rulebook on the manner of opening the foreign exchange accounts of the budget users (4768, pg. 12): https://www.slvesnik.com.mk/Issues/74c71826579f4863a327830e2fb7ac36.pdf

	15. Rulebook on the manner of issuing the approval for the proposals for concluding financial leasing agreements to the budget users of the state budget or the municipal budget (4769, pg. 13): *https://www.slvesnik.com.mk/Issues/74c71826579f4863a327830e2fb7ac36.pdf* 16. Guideline on manner of Budget liquidity planning: *https://finance.gov.mk/wp-content/uploads/2025/02/28e08ed95f77419c9ebc39c5faa197d0.pdf* 17. Guideline on manner of managing with liquidity of Treasury single account: *https://finance.gov.mk/wp-content/uploads/2025/02/46a578e94ee04f1680bde4a56e98b3da.pdf* 18. Rulebook on the manner of entering into commitments in the Budget for the current year and in the budgets for the following years and the manner of availability of spending rights in the Budget entering into public procurement procedure: *https://finance.gov.mk/wp-content/uploads/2025/02/923491f008b64121afff03fa71a2a266.pdf* - **The Draft Public Investment Management Decree (art. 20) was not adopted before the deadline due to the need of further inter-governmental consultations.** Despite significant progress, the implementation of the Organic Budget Law (OBL) remains incomplete. While the minimum required number of bylaws have been adopted and the Registry of Public Entities has been established, the Government must complete the following actions within the grace period to consider this step fully achieved: • **Adopt the Public Investment Management Decree** (not adopted as of 14 March, with the submission of the request for release of funds)**.** • **Complete the revision of the Organisational Classification**, ensuring that second-line budget users under each primary ("parent") budget user are identified. The adopted bylaw currently includes only parent budget users. • **Develop the Programme Budget Classification.** The adopted rulebook provides only a general description of the programme budget classification without an actual revision of the programme budget structure. It is important to note that the entry into force of several bylaws, including the revised budget classification, is set for January 2026, in alignment with the last amendment to the Organic Budget Law in December 2025. The Government shall take all necessary measures to meet this deadline and avoid further extensions to the bylaw's actual implementation.
Checks performed and evidence used in the verification of the step and related findings	Desk Reviews/monitoring meetings. The European Commission analysed the content of the adopted bylaws and closely monitored the revision of Budget Classifications, as well as the formulation of the Public Investment Management Decree. This process has been carried out in collaboration with several International Financial Institutions and the US Treasury. During multiple monitoring meetings with the Government, the EU raised concerns regarding the completeness of the Budget Classifications revision.
Double funding	Contributions from third parties were not reported in support of the achievement of this step.

Clear conclusion on the achievement of the step	**Not achieved.** The 'grace period' runs until 31 December 2026.

2.1.2.1. Implementation of climate and energy policies and measures as foreseen in the National Energy and Climate Plan (NECP)

The step under review	*Governance structures foreseen in the Just Transition Roadmap (JTR) are operational and have approved the annual implementation plan for 2025.*
Baseline	Current governance structure on JTR (2024) According to the JTR (pp. 58-60), the governance structure includes: • Council for Just Transition • National Just Transition Coordinator in the Ministry of Economy • Secretariat for Just Transition in the Ministry of Economy • Working Groups respectively in charge of reskilling and training, economic transition and energy transition • Regional Fora for Just Transition
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The Beneficiary considers this step as fully achieved.
Commission assessment of results	North Macedonia has already established working groups in the context of the Just Transition Roadmap, and these held meetings in November and December 2024, and February 2025, to develop the Annual Implementation Plan 2025. The plan was initially approved by the newly formed Just Transition Council in December 2024, then revised in February and reapproved in February 2025. The reported activities of the Governance structure are limited to the preparation of the Annual Implementation Plan 2025 (JTAIP), with no information provided regarding the implementation of planned activities. The annual implementation plan lists some action items, timelines and some resource allocations, mostly derived from the EU/donors/IFIs but not directly from the national budget. A planned monitoring and reporting system on the implementation of the JTAIP is described but there is no evidence that it has been applied in the period January-March 2025. Despite having a governance structure nominally in place with meetings and dedicated working groups, as well as having approved the annual implementation plan for 2025, there are substantial deficiencies that hinder the actual operationalisation of these efforts and their conversion into real outcomes and tangible results. In this view, the plan requires significant improvement and more consultations with stakeholders in

	order to make it an operational document, targeted to the actions to be undertaken by State Institutions during the timeframe foreseen (2025). The Governance structures should show more evidence that they meet and monitor implementation regularly and that they are functioning according to the planned monitoring mechanism. Evidence that certain activities started before the submission of the plan for European Commission's assessment should be provided, as well as evidence of progress since the beginning of 2025 as well as of the implementation of the monitoring mechanisms. *General comments* The submitted documents include proof of formal establishment of the Just Transition Council and the three working groups. There are also meeting minutes and correspondence showing that there was communication between the different stakeholders relevant for the just transition process. However, the number of conducted meetings is rather low, and their outputs appear to be rather limited. Between July 2024 and February 2025 only two meetings of the Just Transition Council and three meetings of the working groups appear to have taken place. There is also limited evidence of active participation of the local stakeholders from Bitola and Kichevo. In line with the planning under the monitoring mechanism, the frequency of meetings is expected to increase. Although the monitoring mechanism foresees monthly progress reports, none have been submitted (not even for January or February 2025). Within this context, the governance structure seems to have been established but has not reached the status of full operationalisation yet. The scope of the Just Transition Council as defined by the new Government Decision goes far beyond the scope of the Just Transition Council defined in June 2023. In its new tasks, it oversees also the implementation of the whole Reform Agenda component as well as the Just Energy Transition Investment Platform. Within this context, it is important to keep Just Transition as a specific process, with its own actors and challenges, which goes beyond energy transition and considering the socio-environmental consequences of decarbonisation in the affected areas, including its implementation and reporting mechanisms. Regarding the JTAIP for 2025, there is a formal decision approving the plan. However, the document lacks the main elements to make it implementable and actionable. The JTAIP focuses on rather general descriptions and goals of interventions rather than detailing action items with specific timelines and resource allocations within the targeted period (2025). It includes all actions foreseen in the Reform Agenda – Energy/decarbonisation component, as well as several past, present and future IPA, WBIF and EBRD funded projects – with a scope beyond the Just Transition areas and timeframes beyond 2025, without specifying what actions are foreseen to happen specifically in 2025, ideally in which month or at least quarter. The JTAIP in its current form is not an operational document for planning and monitoring the progress against the targets to be achieved in 2025 under the just transition process. It would also be of limited use as guidance for the institutions of what is expected to be done by when. It is also not clear what resources will be allocated to the Just Transition process, as the budget is in many cases not specified, and when national budget is involved, it is not mentioned whether it has been secured. Finally, the implementation of the Monitoring and Reporting system has to be followed in the coming months and relevant documentation should be provided as evidence for

	assessing the achievement of this step, namely the monthly and quarterly reports, covering the whole period from January 2025.
Checks performed and evidence used in the verification of the step and related findings	Assessment is made by desk analysis of the requirements and objectives of the reform measure. Constant exchanges and policy dialogue with the Ministry of Energy including a meeting in mid-January 2025 to pass informal comments on the JTAIP 2025 approved in December 2024. Significant comments were not taken into account, for example: making the plan more operational and focused on activities to be achieved only during 2025, considering only just transition related activities but not the whole broader Reform Agenda steps on Green (Energy), being more specific on national budget commitments and foreseeing results by quarter.
Double funding	Contributions from third parties were not reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved.** The 'grace period' runs until 31 December 2026.

4.1.5. Reform the governance of State-Owned Enterprises with focus on the Railways and Postal services

The step under review	*Amend corporate law to introduce new rules on the appointment of independent board members of State-Owned Companies (SOC).*
Baseline	0 (2024) (Law not amended)
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The Beneficiary considers this step as fully achieved.
Commission assessment of results	The Amendments to the Law on trade companies were adopted by the Parliament on 27 December 2024 and published in the Official Gazette on 3 January 2025 (Off. Gaz. 274/2024). The amendments shall enter into force as of 24 March 2025. The amendments foresee: a) Article 247 regulates the maximum and minimum number of members in the Supervisory Board of State-Owned Companies (SOC). (*4) The **Supervisory Board** in a company with dominant or full state ownership, classified as a medium-sized trader or large trader, shall have at **least three and at most five members**.*

(5) The Supervisory Board in a company with dominant or full state ownership, classified as a micro-trader or small trader ***shall have three members.***

b) Article 367 regulates the number of executive, non-executive and independent members in Board of Directors.

(6) The Board of Directors of a company with dominant or full state ownership, classified as a medium or large trader, ***shall have at least three and at most seven members, two of whom shall be independent members.***

*(7) The Board of Directors of a company with dominant or full state ownership, classified as a micro or small trader****, shall have at least three and at most five members, one of whom shall be an independent member****.*

c) Article 367 expands the criteria to be met by independent non-executive members of the Board of Directors. However, the requirements are almost identical to the requirements for all members of the Board, except one more year of working experience, i.e. 4 years of working experience in total.

(2) An independent non-executive member of the board of directors of a company with dominant or full state ownership may be elected if he/she meets the ***following conditions****:*

1) he/she is a citizen of the Republic of North Macedonia;

2) he/she has acquired at least 240 ECTS credits or has completed VII/1 level of education;

3) at the time of appointment, he/she has ***not been sentenced by a final court judgment to a fine or misdemeanor sanction*** *prohibiting him/her from performing a profession, activity or duty;*

4) he/she has ***at least four years of work experience****.*

(3) In a company with dominant or full state ownership, there should be:

- ***at least one independent member with work experience in the field of financial operations or with work experience in the field of legal affairs****, if it is a company classified as a micro or small trader or*

- ***at least one independent member with work experience in the field of financial operations and one independent member with work experience in the field of legal affairs****, if it is a company classified as a medium-sized trader or a large trader.*

d) Article 365 introduces equal compensation of members of Supervisory Board, all across SOCs established pursuant to the Law on trade companies.

(2) Non-executive members of the Board of Directors, i.e. members of the Supervisory Board of a joint-stock company with dominant or full state ownership, i.e. members of the supervisory board in a limited liability company with dominant or full state ownership, are entitled to compensation only in the form of a monthly lump sum amounting to ***one quarter of the average net salary paid in the Republic of North Macedonia for the previous year****.*

Overall, the amendments introduce general criteria for appointment of independent members. They also regulate the composition of Supervisory Boards and Boards of Directors of SOC and introduce new rules on the education and work experience

	required for appointment as Board members. In addition, the amendments introduce equal compensation for Supervisory Board members. The Amendments will enter into force as of **March 2025**. However, the amendments will not apply to the Board members that are currently in a position until completion of their mandates. The SOC Board members were (to a great extent, if not all) appointed in autumn 2024, when the new Government took post. This would mean that amendments will not affect in any way (including remuneration) the SOC Board members who are currently in place up to the autumn of 2028. This implies that actual impact on the ground is only expected in the third quarter of 2028. The amendments establish the appointment of independent members in SOCs Boards and introduce new criteria of education and work experience. Further improvements to the criteria are expected in view of subsequent steps under the reform area "Reform the governance of State-Owned Enterprises with focus on the Railways and Postal services" which address corporate governance in SOCs and lays the ground for alignment to OECD principles in this area (i.e. OECD Guidelines on Corporate Governance of State-Owned Enterprises). The authorities aim to employ EU Technical Assistance for the completion of a subsequent step on the State Ownership Strategy and a new Law for State Owned Companies (by December 2025). Another subsequent step aims to establish a system for linking the compensations of independent board members to the financial performance and efficiency of SOCs (by June 2026). In addition, the procedure for appointment of members of Board of Directors or Supervisory Board in SOCs is not regulated nor prescribed, nor the procedure of assessment/evaluation of the performance of the members (and criteria of dismissal). SOC Boards should, under the Chair's oversight, regularly carry out a well-structured evaluation to appraise their performance and efficiency and assess whether they collectively possess the right mix of background and competences, including with respect to gender. These aspects should be looked at in view of the steps to be completed by December 2026, which requires "100% of new Board members of State-Owned Companies and SOEs are subject to open, independent and merit-based processes. 100% of existing Board members are subject to a reassessment." In doing so, North Macedonia should ensure to include provisions that Boards of SOCs have the necessary authority, competencies and objectivity to carry out their functions of strategic guidance, risk management oversight and monitoring of management. They should act with and promote integrity and be held accountable for their actions. In this line, SOC Boards composition should allow the exercise of objective and independent judgement. All Board members, including any public officials, should be nominated or appointed based on qualifications relevant to the enterprise's sector of activity and business profile. Also, there should be a robust procedure for appointment, assessment and discharge.
Checks performed and evidence used in the verification of the step and related findings	Assessment is made by desk analysis of the requirements and objectives of the reform measure. The review of the amendments also considered the "OECD Guidelines on Corporate Governance of State-Owned Enterprises" (*link*) as a reference. During discussions with the authorities, these guidelines were recommended as international best practice to be taken into account.

Double funding	Contributions from third parties were not reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Fully achieved**

5.2.1. Improve judicial integrity by revising the processes of recruitment, selection, appointment, appraisal, promotion, transfer and dismissal of judges and prosecutors

The step under review	*The vacant positions for judges and prosecutors are filled on regular basis based on the projections by the Judicial Council/Council of Public Prosecutors following the implementation of the Human resources management strategies in courts/PPOs.*
Baseline	Baseline (2024): there are in total 261 vacancies for judges in all courts (out of which 162 are vacancies for judges in the basic courts) and 88 vacant positions for prosecutors (in total 349 judges and prosecutors). There are 334 judges and 178 prosecutors in place at all levels. Baseline for the assessment of the step in December 2026 will be results of the assessment in December 2024.
Deadline of the step	December 2024
Conclusion of the review of the step by the beneficiary	The Beneficiary considers this step as fully achieved.
Commission assessment of results	The five-year projection and annual decision on number of vacant judicial positions by the JC and CCP are not presented as straightforward source of verification and the element of continuity is difficult to be detected. However, North Macedonia reports that, according to the five-year projections of the Judicial Council and the Council for Public Prosecutors report, there will be 112 vacant judges and 32 prosecutors' positions, on the basis of retirement at the age of 64 years at the end of 2029. The projections are the following: • 2025: 25 judges and 7 public prosecutors, • 2026: 19 judges and 3 public prosecutors, • 2027 26 judges and 7 public prosecutors, • 2028: 23 judges and 10 public prosecutors, • 2029: 19 judges and 5 public prosecutors. **Election of judges and public prosecutors** On 10 February 2025, the Judicial Council (JC) and the Council of Public Prosecutors (CPP) published a vacancy for **50 judges** and **47 public prosecutors from the 8th**

	generation of candidates from the Academy of Judges and Public Prosecutors (AJPP). These numbers correspond to the projections sent by the Councils to the AJPP in 2020, prior to the admission of the candidates. On **10 March 2025**, the JC at a public session elected **49 applicants** in 19 basic courts across the country. Due to the double majority voting principle, several high-ranked applicants for the civil and criminal courts in Skopje were not elected, as priority was given to lower-ranked candidates from minority communities in the country. On **7 March 2025**, the CCP at a public session elected **28 applicants** in 10 basic prosecution offices across the country. The lower number of elected public prosecutors, compared to the total number of applicants (39) is due to an uneven distribution of candidates across public prosecution offices. While some offices received a high number of applications, others had fewer or no candidates at all. On 12 March 2025, all 28 elected applicants took a solemn oath at the CCP and became public prosecutors. Given that 20 of the total pool of candidates remained unelected, **on 11 March 2025**, the JC at a public session adopted a decision to publish a **new vacancy for 35 new judges** in 16 courts across the country. The logic behind publishing a higher number of vacancies than the number of candidates is the expectation that there will be an uneven distribution of candidates across the different courts. **On 12 March 2025**, the CPP at a public session adopted a decision to publish a new vacancy for **19 public prosecutors.** • The decisions taken by the Judicial Council and the Council for Public Prosecutors on the appointments of the Academy's graduates were adopted **after 28 February** and additional appointments will occur in April 2025. • These decisions address positions of the 8th generation. Given that the graduates received their diplomas on February 5, it was legally and practically impossible to finish the election process by February 28. • The 77 successful graduates have now taken their oaths, formally assuming their roles as judges and public prosecutors. Meanwhile, the Councils have issued new calls for the remaining 20 graduates, and public sessions for their appointments are expected to take place during the course of April 2025. The admission procedure and initial training (i.e. the final stage before recruitment) of trainees for 100 judges and 30 public prosecutors of the 9th generation is still on hold, due to the Government's Conclusions to stop all employment procedures. Judgements of the Administrative and Higher Administrative Court categorized the admission procedure at the Academy as an employment procedure. The suspended admission procedure is in the final phase of the exam process, i.e. written and oral part. The recruitment of new trainees in the Academy has not started yet and they will be eligible for appointment only after completing the two-year training program in the Academy – providing that the process will go ahead. The Management Board of the Academy will decide on the continuation of the admission process upon receiving a further response by the Government. The Judicial Council and the Council of Public Prosecutors have already requested respectively 162 candidates for judges and 30 candidates for prosecutors for the 10th generation. • The decisions on the appointment of judges and prosecutors do not represent a guarantee that the positions will be filled, neither that there will be a continuity in filling the positions. The **"regular basis" approach indicated in the step is not achieved.**

- Since the step will be repeated in December 2026, where the baseline will be the assessment of the step in December 2024, it is unlikely that the target will be met then, as the Academy training takes two years to complete. Further, between graduation and appointment/election, there are different steps to take which require 2-3 months. For instance, the candidates from the 7th generation graduated in March 2023. The judges were elected in July 2023, while public prosecutors were elected between May and July 2023.

Promotions

Between July 2024 and March 2025, they appointed 17 judges and 7 public prosecutors. These were judges and public prosecutors promoted to a higher court / public prosecution office, so this refers only to the promotion procedures.

Human Resource Strategies (HRS) for JC and CPP

Due to resistance to change, resource constraints, integration complexity and inadequate policy support, the Judicial Human Resource Strategy remains largely unimplemented, with minimal progress to date. The same applies for the Human Resource Strategy for the Public Prosecution dated 2020 without specifying further the time period covered. The strategy includes analysis for the situation in the PPO for 2017 and 2018 Action Plans which were foreseen to be implemented by 2023.

- There is no monitoring of the implementation of the strategy.
- The update of the HRS for the judiciary and a proper implementation has been the European Commission's consistent recommendation in all enlargement reports on North Macedonia since 2020.
- It was introduced in the step as a proper update and implementation of both HRS would prove their efforts in addressing the Commission's outstanding recommendations.

Amendments to the Law on Labour Relations (published in the Official Gazette No. 39/2025 on 20 February 2025, and in force from the same date)

Judges and public prosecutors now have the **possibility to continue exercising their function** even after meeting the conditions for old-age retirement, **up to the age of 67.**

According to the Analysis for Determining the Number of Vacant Judicial Positions in the Basic Courts of the Republic of North Macedonia, prepared by the Judicial Council in April 2024, a total of 434 basic court judges is required to ensure the effective administration of justice. However, only 274 judges were active at the time, leaving 160 positions unfilled. While 55 judge-candidates from the 8th generation of the Academy for Judges and Public Prosecutors are appointed as judges in March 2025, even with these appointments, the shortage of judges **will still exceed 100.** Given that candidates for the 9th generation of the Academy have not yet been enrolled, it is unlikely that new judge-candidates will be available before 2027.

The recent amendments to the Law on Labor Relations do not provide a solution to this drastic shortage of judges. The most effective step to address this issue and ensure sustainability is to enroll new candidates and potentially increase their number into the Academy as soon as possible. Taking into account the fact that 17 prosecutors will reach the age of retirement in 2025-2026, it will be possible for these 17 prosecutors to

	continue in office. As for judges, the prospect for 2025-2026 includes possibly 37 that could continue in office. However, it is impossible to predict how many will actually do so, as this depends on the individual decisions of the prosecutors. Some may choose not to continue, others may extend their office for a shorter period, and some may go for retirement even while the extension is in force. Additionally, the extension to the retirement age could also be revoked, as the Law regulating the issue can be amended with a simple majority in the Parliament (already happened in 2021). The 77 judges and prosecutors from the 8th generation were elected but with a delay and without guaranteeing "the election on regular basis" criterion given that the procedures for the 9th generation and 10th generations are not even started. Furthermore, the projections regarding the retirement conditions for public prosecutors and judges do not provide a long-term solution for filling positions in the judiciary on a regular basis.
Checks performed and evidence used in the verification of the step and related findings	Assessment is made by desk analysis of the requirements and objectives of the reform measure.
Double funding	Contributions from third parties were not reported in support of the achievement of this step.
Clear conclusion on the achievement of the step	**Not achieved**. The 'grace period' runs until 31 December 2026.